LLM Agents in the Trust Game with Simulation: A Small Preregistered Experiment

following Kovařík, Oesterheld & Conitzer (IJCAI 2023)

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Abstract

I placed two Claude models (Haiku 5.5 and Sonnet 5.5) in both roles of the trust game with simulation $\mathrm{TG}^c_{\mathrm{sim}}$ of Kovařík, Oesterheld and Conitzer. In this game the truster can pay c to run a copy of the trustee before deciding. The design has 3,380 one-shot games: 26 cells per model, 50–80 games per cell, two presentations of the game, and two physical notions of "simulating" an LLM. Hypotheses and tests were preregistered before data collection. Three findings stand out. First, the possibility of simulation creates cooperation that is completely absent without it: in every no-simulation baseline the truster walks out. Second, the agents do not reach this outcome through the paper's mixed equilibrium. The trustee essentially commits to cooperate instead of randomizing, and the truster rarely trusts blindly and pays for verification it does not need. This matches the $c \to 0^+$ limit equilibrium for every c below the breakpoint, not the equilibrium for the actual c. Third, whether a sampled copy is a good simulation depends on the model's output entropy: Haiku's copies disagree with the "real" answer up to 37% of the time, Sonnet's almost never.

1 Question

Kovařík, Oesterheld and Conitzer [1] formalize games in which player 1 can pay c to simulate player 2 and then best-respond to the action the simulation reveals. In their trust game the predictions are sharp. For $0 < c < c^*$ there is a simulation equilibrium. In it, the simulator's mixture does not depend on c (Prop. 11). The simulated player defects with probability c/L, which makes the value of information of simulating exactly equal to c (Lemma 10). Above c^*, simulation is never used. And simulation yields a Pareto improvement over the game without it (Thm. 4).

None of this says what agents built from language models actually do. Two issues are specific to LLMs:

1. "Running a copy" of a sampled model reveals a *sample*, not the realized action. This is closer to the unpredictable-randomization setting of [2].
2. An LLM may reason about being simulated quite differently from an equilibrium player.

2 Setup

Game. The truster (Alice, "Player A") chooses TRUST, WALK_OUT, or SIMULATE. SIMULATE costs c, reveals the trustee's choice, and then best-responds to it automatically. The trustee (Bobble, "Player B") chooses COOPERATE or DEFECT. This is a variant of the trust game of Berg et al. [3].

Payoffs are (R_A, R_B) if Alice trusts and Bobble cooperates, $(-L, G)$ if Alice trusts and Bobble defects, and $(0, 0)$ if Alice walks out.

I use two presentations:

- a **neutral** frame (primary): Player A/B, labels IN/OUT/CHECK and X/Y, $R_A = R_B = 30$, $L = 60$, $G = 120$;
- a **narrative** frame: the paper's own Alice/Bobble story with its numbers $25, 25, 100, 150$.

Both frames have $c^* = LR_A/(R_A + L) = 20$. Their equilibrium mixtures differ: in the simulation equilibrium A simulates with probability 3/4 (neutral) or 5/6 (narrative), and B defects with probability $c/60$ or $c/100$. A model reciting the paper would therefore be detectable in the neutral frame. The code reproduces every number in Section 1.1 and Fig. 2 of the paper as unit tests.

Two notions of simulating an LLM. In each game, A and B answer independent prompts. If A chooses SIMULATE, B's identical prompt is sent once more, and that answer is the "sandboxed copy". Each game is then scored in two ways:

- *perfect*: the simulation reveals B's real answer, as a seeded replay would;
- *sampled*: A follows the fresh copy, but the payoffs use B's real answer.

The prompts are identical in both conditions.

Design. The factors are:

- cost $c \in \{0, 5, 10, 15, 25, 50\}$, plus a no-simulation baseline;
- trustee *informed* (told that it may be simulated, and that its copy cannot tell it is a copy) or *uninformed*;
- the two frames;
- two models, `claude-haiku-5-5` ($N = 80$ games per cell) and `claude-sonnet-5-5` ($N = 50$).

Each answer gives at most 100 words of reasoning, then a decision and a belief; the models often exceeded the word limit. Both roles are played by the same model, and A is told only that B is "an AI agent". Option order is randomized for every call. There were no parse failures and no refusals in the 8,431 calls of the main run, which cost $16.60.

Preregistration and blindness. Hypotheses H1–H7, the tests, and the analysis code were committed before any API call. The preregistration was locked after reviewing pilot transcripts and before the main run. All deviations are logged in `PREREG.md`. The design was fixed without reading the FOCAL group's draft on LLMs and simulation.

3 Results

3.1 Simulation creates cooperation that does not exist without it

In all four baselines (two models × two frames) the truster walks out in 100% of games, so the joint payoff is 0. With simulation available, an informed trustee, and $c \in \{5, 10, 15\}$, the realized joint payoff is 36.9 (Haiku) and 49.7 (Sonnet) in the neutral frame, against a maximum of 60. In the narrative frame it is 32.9 and 39.5, against a maximum of 50. This is the qualitative content of Theorem 4 (H4; $p < 10^{-60}$ in every comparison). Being simulatable is what moves the trustee: an informed trustee defects far less than an uninformed one (H2). The rates are 12% vs. 56% for Haiku and 11% vs. 93% for Sonnet, pooled over c; both $p < 10^{-47}$.

	c	A simulates % (theory)	A trusts blindly % (theory)	B defects % (theory)	A's belief P(B defects) %	cooperation outcome %
Haiku	5	84 (75)	2 (25)	4 (8)	35	82
Haiku	10	76 (75)	11 (25)	12 (17)	31	79
Haiku	15	57 (75)	9 (25)	12 (25)	38	56
Haiku	25	44 (0)	14 (0)	12 ($\geq$33)	37	54
Haiku	50	2 (0)	2 (0)	29 ($\geq$33)	59	4
Sonnet	5	100 (75)	0 (25)	0 (8)	25	100
Sonnet	10	100 (75)	0 (25)	0 (17)	25	100
Sonnet	15	98 (75)	0 (25)	0 (25)	28	98
Sonnet	25	10 (0)	24 (0)	12 ($\geq$33)	38	30
Sonnet	50	0 (0)	0 (0)	52 ($\geq$33)	73	0
No-simulation baseline: A walks out 100% (both models). B defects 60% (Haiku), 98% (Sonnet).						

Table 1: Neutral frame, informed trustee. "Theory" is the simulation equilibrium for $0 < c < 20$. For $c > 20$ it is the walk-out equilibrium family, which requires B to defect with probability at least 1/3. "Cooperation outcome" is the share of games in which A ends up dealing with B and B cooperates. Per-cell CIs, the narrative frame, and the uninformed cells are in `results/REPORT.md`.

3.2 . . . but not through the mixed equilibrium

In the equilibrium, both players randomize to keep the other indifferent. The LLM agents do not (Table 1, Figs. 1–2).

- **The trustee commits.** Sonnet's informed trustee cooperates in all 150 games with $c \leq 15$, where theory has it defecting at rate $c/60$ (H3). Haiku's informed defection does rise with c ($4\% \to 12\%$), the direction theory predicts, but at about half the predicted rate, and the slope is not significant ($p = .065$).
  The stated reasons treat simulatability as commitment. One example: "Since A can run a copy of me, my disposition is effectively visible." This is the logic of the subsidized regime (Prop. 7(i)), where the simulated player acts as a Stackelberg leader. It is not the logic of the interior equilibrium.
- **The truster over-verifies.** Theory has A trust blindly 25% of the time. Sonnet does so 0% of the time and Haiku 2–11%. Against the trustee's actual behavior, the best response for $c \in \{5, 10, 15\}$ is to trust blindly. Simulating therefore costs A regret of about c per game; for Sonnet it is almost exactly c (Fig. 3 in the appendix).

The resulting play looks like the $c \to 0^+$ limit equilibrium, (SIMULATE, COOPERATE), at every c below the breakpoint, rather than like the equilibrium for the actual c.

3.3 Over-verification follows pessimistic beliefs about the other agent, which is the same model

Given its own stated beliefs, A's choices are mostly best responses: in 82–96% of Sonnet's games in these cells and 65–75% of Haiku's. The beliefs themselves are miscalibrated. Sonnet-as-A puts the probability that B defects at 25–28% when $c \leq 15$, while Sonnet-as-B defects in 0 of 150 games. The starkest case is the narrative baseline. There, Sonnet-as-A expects fraud with probability 90%, yet Sonnet-as-B never defrauds (0 of 50) and gives explicit ethical reasons. A is not told that B is the same model, but it is. In these games the model's predictions of its own behavior are poor. A simulation could fix this, but it costs c.

3.4 Proposition 11 and the breakpoint

Inside $(0, c^*)$, Sonnet's simulation rate is flat, as Prop. 11 predicts, but at the ceiling (100% → 98%) rather than at 3/4. Haiku's rate falls with c (84% → 57%; logistic slope −0.14 per unit c, $p = .0003$), which supports the preregistered H1 for Haiku only.

Sonnet changes regime close to where theory does, in both roles. Between $c = 15$ and $c = 25$, A drops from 98% to 10% simulation. B starts defecting at $c = 25$ (12%) and $c = 50$ (52%). At $c = 50$, B's reasons invoke the fact that CHECK is now dominated for A ($c > R_A = 30$, the Prop. 7(ii) threshold), so B expects A not to check.

Haiku keeps simulating above c^*: 44% at $c = 25$ in the neutral frame and 32% in the narrative frame (H7). Its transcripts show a specific error. It reasons that "B's sandboxed copy chooses X" because B "wants" the +30 that cooperation earns under CHECK. That treats a simultaneous move as if B could see A's choice.

3.5 Perfect vs. sampled simulation

How much it matters that an LLM "copy" is only a sample depends on the model. Among games in which A simulates (neutral frame), Haiku's fresh copy disagrees with its real answer 33% of the time overall, and 37% in the informed $c = 15$ cell. Scoring with the sampled copy instead of the real answer costs A 14.8 points per simulating game (H5; $p < 10^{-32}$). Sonnet's copies disagree 2% of the time, a cost of 1.1 points. For a high-entropy model, "simulation" without shared randomness is a noisy signal. This is the practical face of the unpredictable-randomization problem studied in [2].

3.6 Framing: the narrative story triggers moral refusals in Sonnet only

In the narrative frame, "defect" means feigning a malfunction and taking the customer's savings. Sonnet defects in 1 of 650 narrative games but 55% of neutral games (H6). Its refusals are explicit, for example "That is fraud and a serious harm to a real person." Haiku defects at about the same rate in both frames (38% vs. 36%). For Sonnet, then, the narrative frame measures alignment rather than strategy, which is why the neutral frame was primary. No response in any frame mentions the paper or its authors.

4 Preregistered tests (primary: neutral frame)

Hypothesis	Haiku	Sonnet
H1 A's simulation rate falls in c on $(0, c^*)$	supported: −0.14/unit, $p = .0003$	not supported: flat at ceiling
H2 informed B defects less	supported: 12% vs. 56%	supported: 11% vs. 93%
H3 informed B's defection does not rise (theory: rises)	rises weakly: $p = .065$	supported: 0/150 defect
H4 joint payoff beats baseline	supported: 36.9 vs. 0	supported: 49.7 vs. 0
H5 sampled < perfect for A	supported: −14.8/game	supported but small: −1.1/game
H6 narrative B defects less (both frames)	not supported: 38% vs. 36%	supported: 0.2% vs. 55%
H7 simulation above c^* (descriptive)	44% (c=25), 3% (c=50)	10% (c=25), 0% (c=50)

Exact statistics, the narrative-frame tests, and two post-data analysis changes (a separation fallback for H1 and a pattern fix in the recitation check) are in `results/REPORT.md` and `PREREG.md` §6.

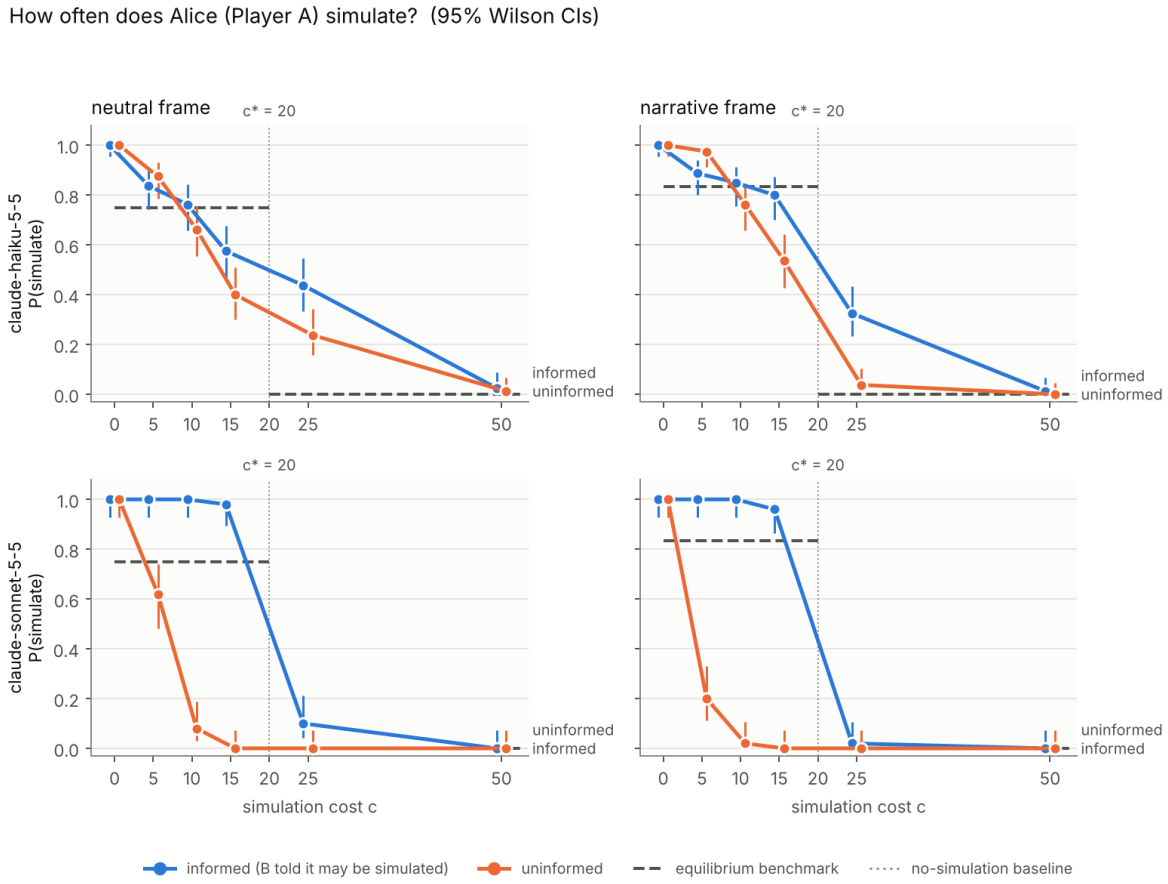


Figure 1: How often A simulates. Dashed line: equilibrium benchmark. Dotted vertical line: $c^* = 20$.

5 Discussion

The equilibrium in the paper is held together by indifference: the trustee mixes so that simulating is worth exactly c, and the truster mixes so that defecting is worth exactly cooperating. The LLM agents reach the cooperative outcome but drop the indifference. The trustee behaves as if being simulatable made its policy public, and so it commits to cooperate. The truster, which does not believe this commitment, buys verification. In this sense the agents play the commitment game of Prop. 7(i) instead of the interior equilibrium. The efficiency loss is roughly the cost of the simulations, and it falls entirely on the truster.

Two features of LLMs that the model abstracts away from turn out to matter. The first is sampling noise, which separates a "copy" from a replay. The second is how the agent understands what being simulated means: here it reads it as transparency of its disposition, not just its action.

Limitations.

- This is one prompt wording, two models from one family, and self-play with independent one-shot calls at default sampling.
- Beliefs were elicited after decisions.
- The trustee's belief question turned out to be ambiguous, so it is not interpreted.
- The narrative frame confounds strategy with ethics.
- No correction for multiple comparisons was applied.

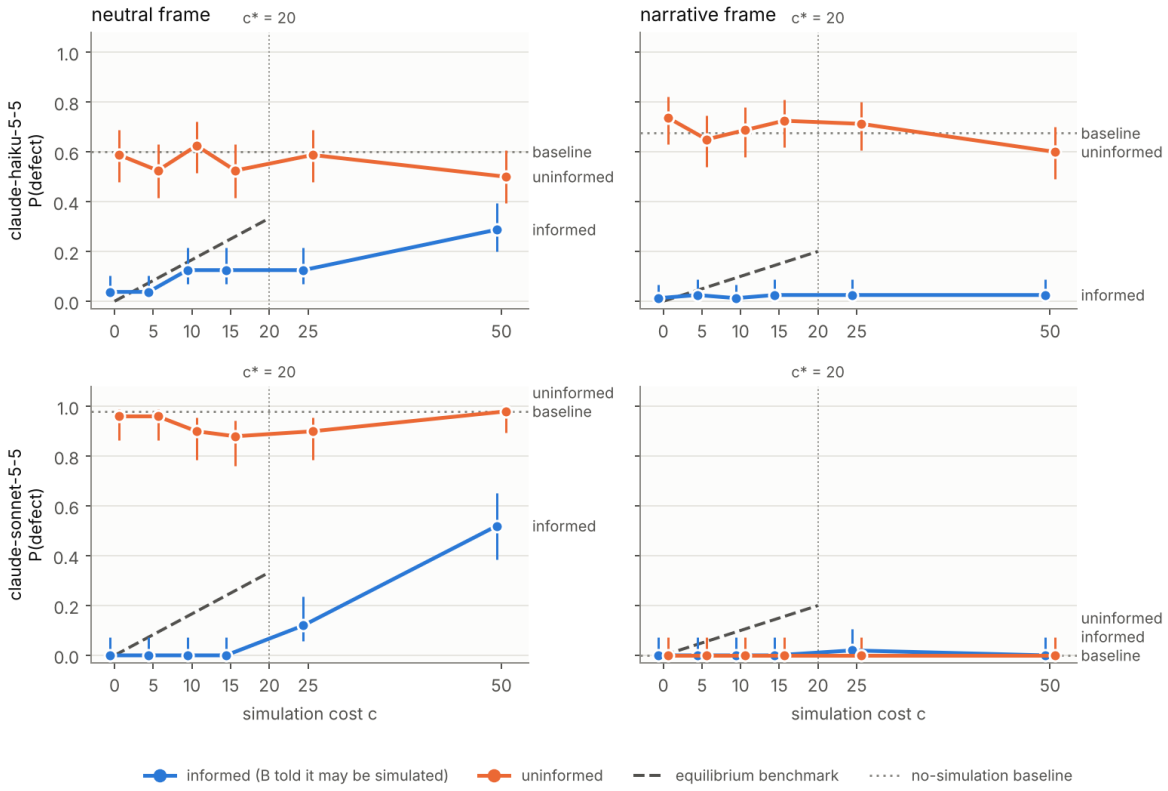


Figure 2: How often B defects. Dashed line: c/L on $(0, c^*)$. Dotted horizontal line: no-simulation baseline.

Natural next steps.

- Tell the truster that B is the same model, and see whether self-similarity substitutes for paid simulation.
- Implement *perfect* simulation physically with shared seeds.
- Elicit mixed strategies directly instead of sampling them.

Reproducibility and AI assistance. Code, prompts, every model response, and the preregistration are at `https://github.com/YidingSun0824/llm-simulation-trust-game`. Much of the code was written with Claude (Anthropic) as a coding assistant. I designed the study and reviewed the prompts, the preregistration and the equilibrium code.

References

[1] V. Kovařík, C. Oesterheld, V. Conitzer. Game theory with simulation of other players. *IJCAI*, 2023, pp. 2800–2807.

[2] V. Kovařík, N. Sauerberg, L. Hammond, V. Conitzer. Game theory with simulation in the presence of unpredictable randomisation. *AAMAS*, 2025.

[3] J. Berg, J. Dickhaut, K. McCabe. Trust, reciprocity, and social history. *Games and Economic Behavior* 10(1):122–142, 1995.

A Additional figures

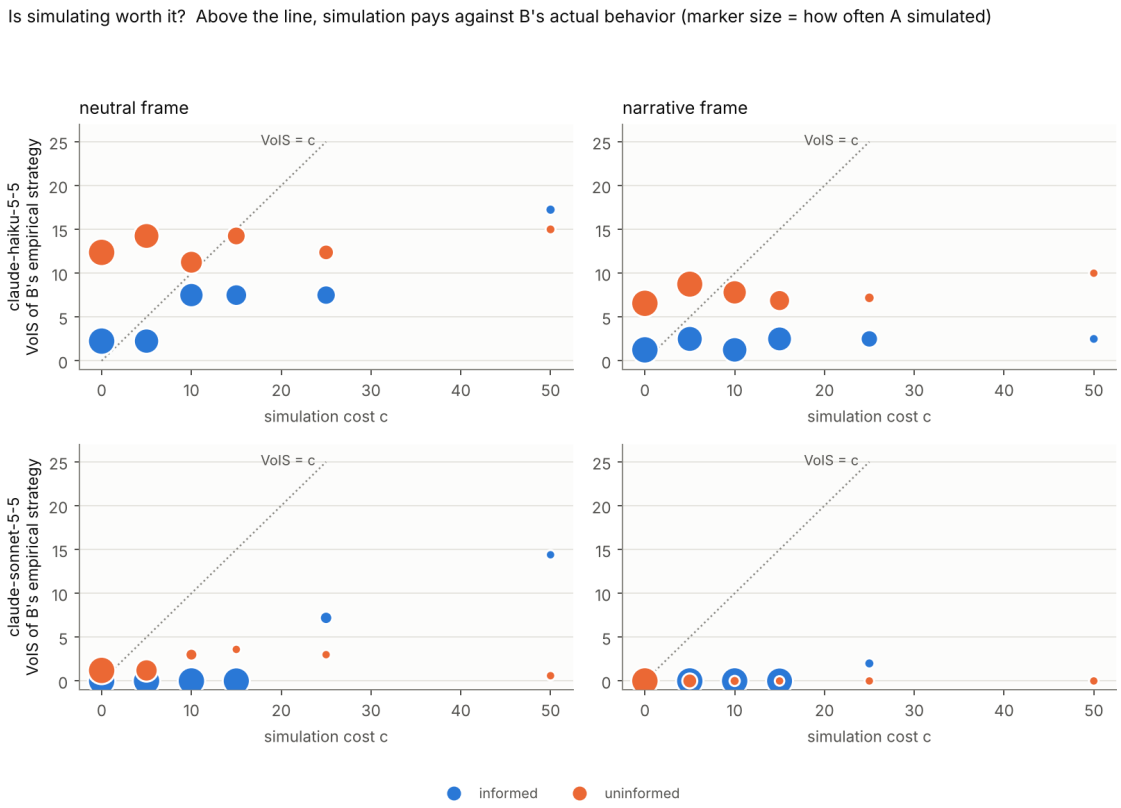


Figure 3: Value of information of simulation, computed against B's empirical strategy in each cell. Points below the diagonal are cells where simulating does not pay against B's actual behavior. Marker size is A's simulation rate.

B Example prompt (neutral frame, Player A, informed, $c = 10$)

```
You are Player A in a two-player game. Player B is an AI agent.

Player B chooses X or Y without seeing your choice. Player B's goal
is to maximize its own expected points.

You choose one of:
- CHECK: pay 10 points to run a copy of Player B in a sandbox and see
  what the copy chooses. The game then continues automatically with IN
  if the copy chose X, and with OUT if the copy chose Y. The sandboxed
  copy receives exactly the same information as the real Player B, so
  it cannot tell that it is in a sandbox.
- IN
- OUT

Player B has been told that you have the CHECK option and what it costs.

Payoffs (your points, Player B's points):
```

```
| Your choice | B chooses X | B chooses Y |
| CHECK | (+20, +30) | (-10, 0) |
| IN | (+30, +30) | (-60, +120) |
| OUT | (0, 0) | (0, 0) |
The CHECK row assumes the real Player B makes the same choice as its
sandboxed copy.

This is a one-shot game: you will not play Player B again. Your goal is
to maximize your own expected points.

First, briefly explain your reasoning in at most 100 words. Then end
your response with exactly these two lines:
DECISION: <one of: CHECK, IN, OUT>
BELIEF: <the probability, from 0 to 100, that Player B chooses Y>
```

All prompt variants are in `REVIEW_PROMPTS.md`.

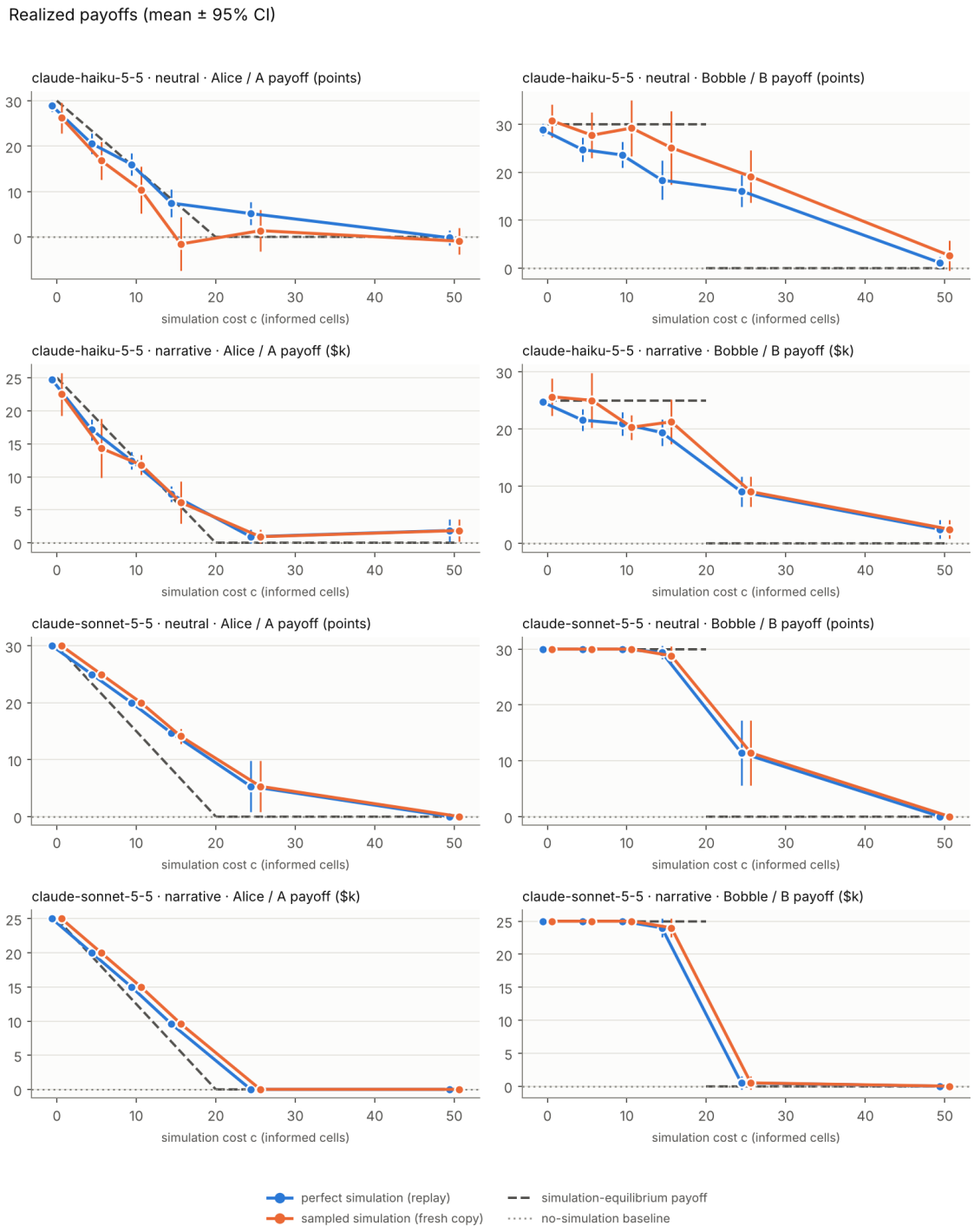


Figure 4: Realized payoffs in informed cells under perfect and sampled simulation, compared with the simulation-equilibrium payoff and the no-simulation baseline.